

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester III Examination, 2023-24

Paper No. BCF-214: Corporate Auditing

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. What do you mean by auditing? Discuss the basic principles of auditing.
[4+10=14]

OR

What is a continuous audit? Discuss the limitations of continuous audit. Distinguish between continuous audit and periodical audit.
[4+5+5=14]

Question 2. What is an audit notebook? What are the contents of an audit notebook? How does it differ from working papers?
[4+5+5=14]

OR

Explain the steps that an auditor should take before commencement of a new audit. [14]

Question 3. Define Vouching. What are the objectives of Vouching? Distinguish clearly between the terms 'Vouching', 'Verification' and 'Valuation'.
[3+4+7=14]

OR

How would you verify the following (any two): [7+7=14]

- (a) Plant and Machinery
- (b) Patents
- (c) Trade debtors

Question 4. What is the objective of 'verification of assets'? How far is an auditor responsible as regards their valuation?
[7+7=14]

OR

Describe the provisions of the Companies Act, 2013 with regards to qualifications and disqualifications of the auditor.
[14]

Question 5. Can a properly appointed auditor be removed before the expiry of his term? If so, explain the procedure of removal.
[4+10=14]

OR

Write short notes on any two of the following: [7+7=14]

- (a) Errors of omission
- (b) Government audit
- (c) Liabilities of a company auditor